

Japan Autos & Auto Parts

Japan Autos & Auto Parts: FY3/27 Q1 Preview - Honda, Suzuki, and Toyota Tsusho poised for strong results



Masahiro Akita
+81 3 6777 6998
masahiro.akita@bernsteinsg.com



Tomohiro Kashimoto
+81 3 6777 6975
tomohiro.kashimoto@bernsteinsg.com



Seunghyeok Kim
+81 3 6777 6974
seunghyeok.kim@bernsteinsg.com

Ahead of the upcoming earnings season, we review Q1 (April–June) volume trends across our coverage universe and present our outlook for each company's Q1 earnings results.

Honda, Suzuki, and Toyota Tsusho poised for strong results: Key areas of focus for the Japan Autos & Auto Parts sector's Q1 (April–June) earnings are likely to include the earnings benefit from lower US import tariffs, which have declined to 15% this quarter from 27.5% a year ago, as well as headwinds from Middle East-related volume disruptions and higher raw material and logistics costs. Within our coverage, we see Honda, Suzuki, and Toyota Tsusho as the most likely positive standouts this earnings season. Meanwhile, although we forecast YoY profit declines for Subaru and Toyota, both companies are still expected to deliver broadly favorable results, driven by earnings that should exceed consensus expectations and healthy progress toward their initial full-year guidance.

Suzuki and Honda likely to stand out in Q1 sales performance: Aggregate Q1 sales across our coverage are estimated to rise 3.9% YoY. Suzuki is expected to post the strongest growth, driven by robust demand in India, while Honda should benefit from strong HEV sales in the US and improving demand in Japan. Subaru's sales trend also remains solid. By contrast, Nissan, Mazda, and Toyota are likely to see modest sales declines. However, Toyota's latest production plan points to a return to YoY growth from Q2 onward, suggesting sales momentum should improve in the coming quarters.

Particularly bullish on Honda and Suzuki into Q1 results: Honda and Suzuki stand out as the most compelling Q1 earnings stories within our coverage. We expect both companies to deliver solid YoY profit growth and outperform current consensus expectations. Honda should benefit from strong US HEV demand, lower tariff costs, and the absence of last year's sizable EV-related charges, potentially resulting in exceptionally strong progress against full-year guidance. Suzuki is also well positioned, supported by robust volume growth in India and resilient earnings momentum. While Subaru and Toyota are expected to report YoY declines in operating profit, both are still likely to deliver favorable results relative to market expectations. By contrast, Nissan and Mazda are likely to be relative laggards, reflecting weaker earnings momentum and limited progress against their initial full-year guidance.

Toyota Tsusho likely to stand out among Toyota affiliates: While Denso and Aisin are unlikely to deliver significant earnings surprises, we expect Toyota Tsusho's Q1 net profit to exceed expectations, primarily driven by strong Toyota Land Cruiser sales in Africa. Although lower Toyota production volumes remain a headwind for Denso and Aisin, favorable FX and tariff pass-through measures should support broadly stable earnings, making a significant earnings surprise unlikely. By contrast, Toyota Tsusho appears well positioned to outperform expectations. Our analysis shows that Land Cruiser sales in Africa and EUR/JPY are both highly correlated with earnings in Toyota Tsusho's Africa business net profit. With IHS forecasting African Land Cruiser sales to increase 28.4% YoY in Q1 and EUR/JPY remaining supportive, we expect robust earnings growth in the Africa business, increasing the likelihood of a meaningful upside surprise in Q1 earnings.

BERNSTEIN TICKER TABLE

Ticker	Rating	17 Jul 2026		Price Target	TTM Rel. Perf.	Reported EPS				Reported P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
7203.JP (Toyota)	O	JPY	2,899.50	4,200.00	(25.1)%	JPY	295.25	308.93	367.29	9.8	9.4	7.9
7269.JP (Suzuki)	O	JPY	2,050.50	2,550.00	(13.9)%	JPY	227.69	234.71	255.99	9.0	8.7	8.0
7267.JP (Honda)	M	JPY	1,535.50	1,300.00	(37.1)%	JPY	(106.06)	161.84	147.24	(14.5)	9.5	10.4
7201.JP (Nissan)	U	JPY	329.30	350.00	(32.5)%	JPY	(152.58)	4.78	53.06	(2.2)	68.8	6.2
7261.JP (Mazda)	U	JPY	1,137.00	1,000.00	(5.9)%	JPY	55.64	116.61	142.17	20.4	9.8	8.0
7270.JP (Subaru)	U	JPY	2,534.00	2,350.00	(39.8)%	JPY	125.50	222.96	249.75	20.2	11.4	10.1
8015.JP (Toyota Tsusho)	O	JPY	6,076.00	8,150.00	46.2%	JPY	350.95	451.35	489.20	17.3	13.5	12.4
6902.JP (Denso)	M	JPY	1,964.00	2,050.00	(39.9)%	JPY	162.96	169.90	190.05	12.1	11.6	10.3
7259.JP (Aisin)	M	JPY	2,256.00	2,450.00	(20.4)%	JPY	232.64	248.13	236.66	9.7	9.1	9.5
JPL			2,545.21									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We rate **Toyota** as **Outperform** with a price target of **JPY 4,200**.

We rate **Suzuki** as **Outperform** with a price target of **JPY 2,550**.

We rate **Honda** as **Market-Perform** with a price target of **JPY 1,300**.

We rate **Nissan** as **Underperform** with a price target of **JPY 350**.

We rate **Mazda** as **Underperform** with a price target of **JPY 1,000**.

We rate **Subaru** as **Underperform** with a price target of **JPY 2,350**.

We rate **Toyota Tsusho** as **Outperform** with a price target of **JPY 8,150**.

We rate **Denso** as **Market-Perform** with a price target of **JPY 2,050**.

We rate **Aisin** as **Market-Perform** with a price target of **JPY 2,450**.

DETAILS

SUZUKI AND HONDA LIKELY TO STAND OUT IN Q1 SALES PERFORMANCE

Based on our estimates of vehicle sales in key markets excluding China, which do not directly impact the consolidated revenues and operating profits of the six Japanese automakers under our coverage, aggregate Q1 (April–June) sales are likely to increase by 3.9% YoY on average (Exhibit 1). That said, performance is expected to vary considerably across automakers.

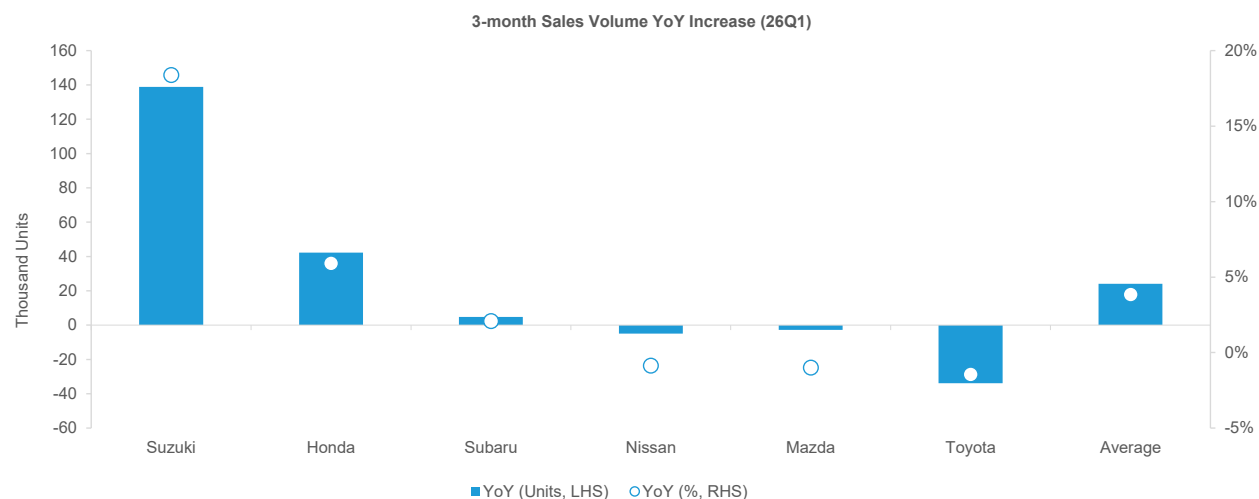
Suzuki is likely to deliver the strongest growth, with global sales estimated to rise 18.4% YoY (Exhibit 2). The key driver remains India, where sales are projected to increase 33% YoY, benefiting significantly from the GST rate cuts implemented last year. With the Kharkhoda plant commencing operations in May, we expect this momentum to continue in the near term. In Japan, Suzuki also appears to have maintained resilient performance, with sales estimated to decline only 0.7% YoY, despite a temporary shift in demand from mini vehicles toward registered vehicles following the April tax changes.

Honda is expected to post the second-strongest performance, with global sales estimated to increase 5.9% YoY (Exhibit 3). Growth is likely to be led by the US, where sales are projected to rise 8.4% YoY, supported by record HEV sales, particularly of the CR-V. Japanese sales are also estimated to increase 8.2% YoY, benefiting from stronger demand for registered vehicles following the tax changes, as well as continued ramp up of the recently launched CR-V.

Subaru is also expected to deliver solid results, with sales estimated to increase 2.1% YoY (Exhibit 4). The US should remain the key contributor, supported by growing demand for the HEV versions of the Forester and Crosstrek. In contrast, Nissan's sales are estimated to decline 0.8% YoY (Exhibit 5). While US sales are projected to increase 9.6% YoY, supported by locally produced models such as the Rogue, Pathfinder, and Frontier, weakness in Europe and Asia is likely to offset these gains.

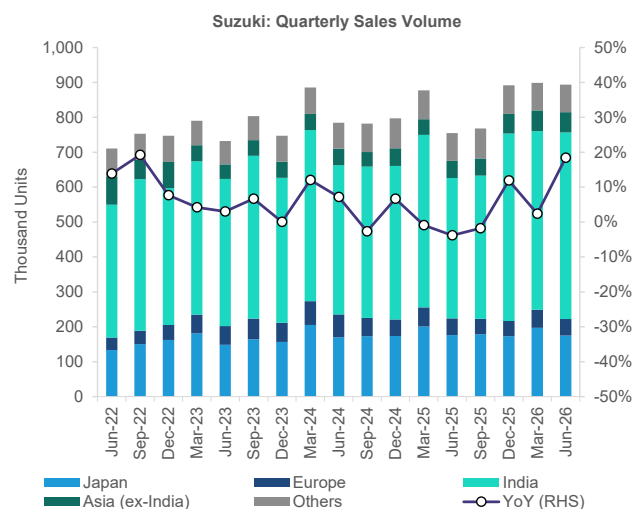
Mazda's sales are estimated to decline 1.0% YoY (Exhibit 6). The newly launched CX-5, a key focus for the market, had already been introduced in Europe and was rolled out in North America and Japan during the quarter. Europe continues to show positive momentum, while the new CX-5 also appears to be contributing to stronger sales in Japan. North American sales are likewise expected to return to growth. However, while Mazda3 and CX-50 HEV sales have been expanding in the US, sales of the CX-5 have been declining, warranting further evaluation. Overall, gains in Europe, Japan, and North America are likely to be more than offset by weakness in other markets, resulting in a modest YoY decline.

Toyota's sales are estimated to decline 1.4% YoY (Exhibit 7). Relative to peers, Q1 may appear somewhat soft, although sales remain healthy in key markets such as the US and Japan. The primary headwind appears to be a sharp decline in exports and sales to the Middle East, where Toyota has the greatest exposure among Japanese automakers. In the US, HEV models such as the Camry and RAV4 continue to post robust sales growth. In Japan, strong demand for the new RAV4, Corolla Cross, and Lexus NX is likely providing support. While Q1 global sales are expected to be slightly down YoY, Toyota's latest July to September production plan implies 3.4% YoY growth globally, suggesting sales momentum should recover from Q2 onward.

EXHIBIT 1: Suzuki and Honda likely to stand out in Q1 sales performance

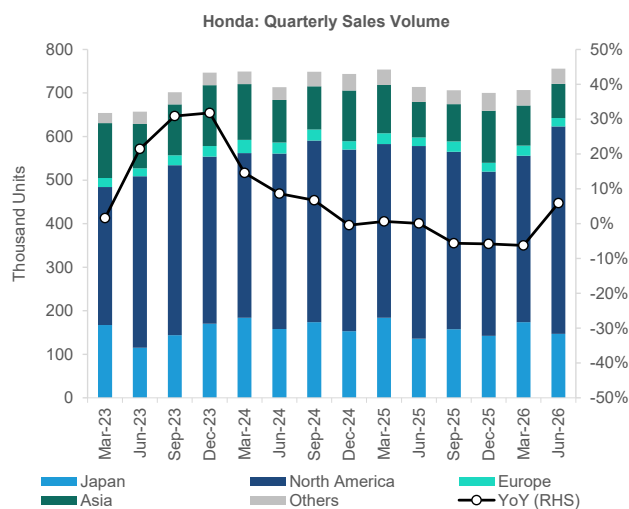
Note: Apr-May 2026 figures are based on officially disclosed company data, while Jun figures are based on publicly available country-level data where available, and estimates derived from country-level data for markets where June data have not yet been released

Source: Company reports, Marklines, Autodata, JADA, Zenkeijikyo, ACEA, SMMT, PFA, KBA, FADA, Gaikindo, Bernstein analysis and estimates

EXHIBIT 2: Suzuki's estimated FY3/27 Q1 sales volume reached 893k units (+18.4% YoY)

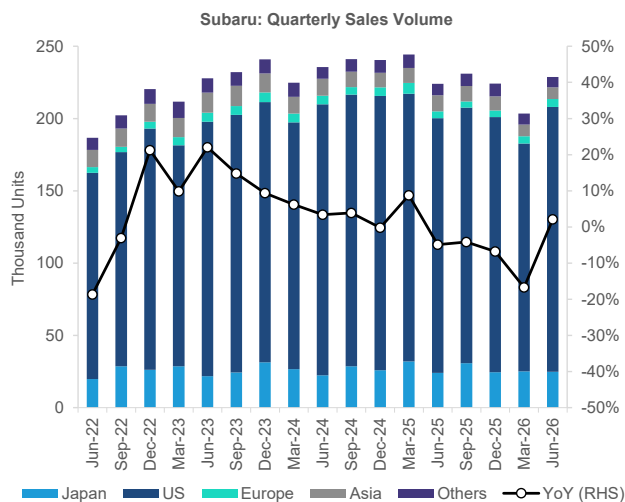
Note: Apr-May 2026 figures are based on officially disclosed company data, while Jun figures are based on publicly available country-level data where available, and estimates derived from country-level data for markets where June data have not yet been released

Source: Company reports, Marklines, Autodata, JADA, Zenkeijikyo, ACEA, SMMT, PFA, KBA, FADA, Gaikindo, Bernstein analysis and estimates

EXHIBIT 3: Honda's estimated FY3/27 Q1 sales volume (excluding China) reached 756k units (+5.9% YoY)

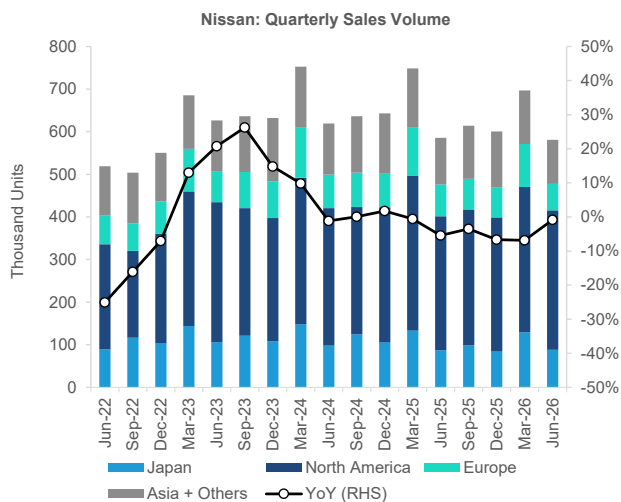
Note: Apr-May 2026 figures are based on officially disclosed company data, while Jun figures are based on publicly available country-level data where available, and estimates derived from country-level data for markets where June data have not yet been released

Source: Company reports, Marklines, Autodata, JADA, Zenkeijikyo, ACEA, SMMT, PFA, KBA, FADA, Gaikindo, Bernstein analysis and estimates

EXHIBIT 4: Subaru's estimated FY3/27 Q1 sales volume reached 229k units (+18.4% YoY)

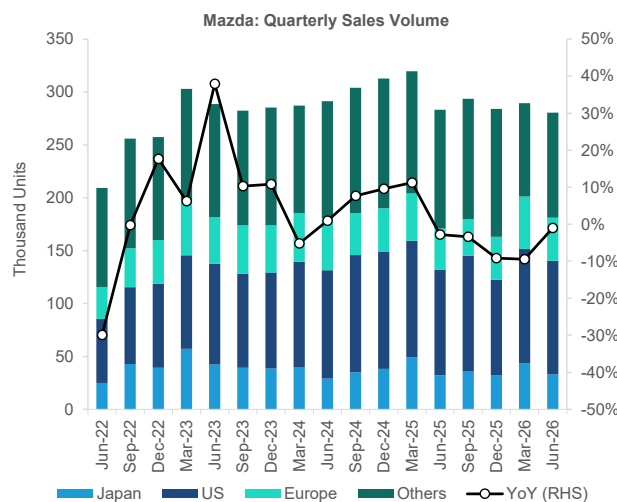
Note: Apr-May 2026 figures are based on officially disclosed company data, while Jun figures are based on publicly available country-level data where available, and estimates derived from country-level data for markets where June data have not yet been released

Source: Company reports, Marklines, Autodata, JADA, Zenkeijikyo, ACEA, SMMT, PFA, KBA, FADA, Gaikindo, Bernstein analysis and estimates

EXHIBIT 5: Nissan's estimated FY3/27 Q1 sales volume (excluding China) reached 581k units (-0.8% YoY)

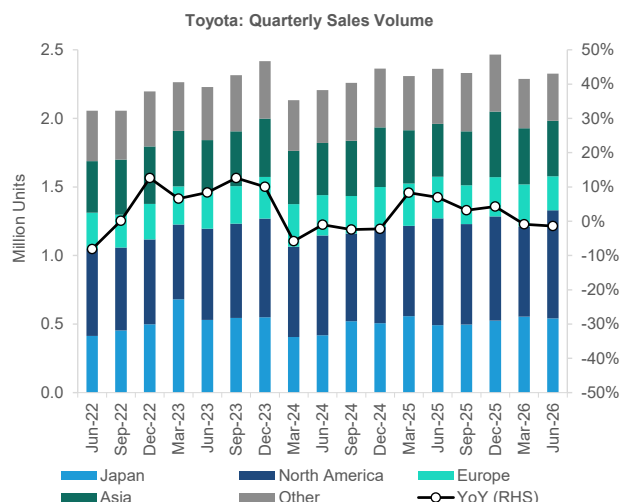
Note: Apr-May 2026 figures are based on officially disclosed company data, while Jun figures are based on publicly available country-level data where available, and estimates derived from country-level data for markets where June data have not yet been released

Source: Company reports, Marklines, Autodata, JADA, Zenkeijikyo, ACEA, SMMT, PFA, KBA, FADA, Gaikindo, Bernstein analysis and estimates

EXHIBIT 6: Mazda's estimated FY3/27 Q1 sales volume (excluding China) reached 280k units (-1.0% YoY)

Note: Apr-May 2026 figures are based on officially disclosed company data, while Jun figures are based on publicly available country-level data where available, and estimates derived from country-level data for markets where June data have not yet been released

Source: Company reports, Marklines, Autodata, JADA, Zenkeijikyo, ACEA, SMMT, PFA, KBA, FADA, Gaikindo, Bernstein analysis and estimates

EXHIBIT 7: Toyota's estimated FY3/27 Q1 sales volume (excluding China) reached 2,327k units (-1.4% YoY)

Note: Apr-May 2026 figures are based on officially disclosed company data, while Jun figures are based on publicly available country-level data where available, and estimates derived from country-level data for markets where June data have not yet been released

Source: Company reports, Marklines, Autodata, JADA, Zenkeijikyo, ACEA, SMMT, PFA, KBA, FADA, Gaikindo, Bernstein analysis and estimates

PARTICULARLY BULLISH ON HONDA AND SUZUKI INTO Q1 RESULTS

Key areas of focus for the Japanese auto sector's Q1 (April–June) earnings are likely to include the earnings benefit from lower US import tariffs, which have declined to 15% this quarter from 27.5% a year ago, as well as headwinds from Middle East-related volume disruptions and higher raw material and logistics costs.

Based on our estimates derived from Q1 sales trends across our coverage universe, we expect automakers' operating profit to increase by an average of 6.5% YoY (Exhibit 8). Among OEMs, we forecast Honda, Suzuki, Nissan, and Mazda to deliver YoY profit growth, while Subaru and Toyota are likely to post YoY declines. Relative to current consensus expectations, we see upside potential for Subaru, Honda, Suzuki, and Toyota, while Mazda appears at risk of missing expectations (Exhibit 9). Although consensus forecasts for Nissan remain widely dispersed, suggesting limited market visibility, we believe earnings are likely to exceed the current median estimate of JPY 4.4bn.

We also expect investors to focus on Q1 progress against full-year operating profit guidance as a gauge of how conservative or aggressive initial company assumptions were. On this measure, Honda, Subaru, Toyota, and Suzuki should show strong progress rates, whereas Nissan and Mazda are likely to lag (Exhibit 10). Overall, we believe Honda, followed by Suzuki, Subaru, and Toyota, is best positioned to be positively received during the upcoming earnings season. By contrast, expectations for Nissan and Mazda could come under increasing pressure.

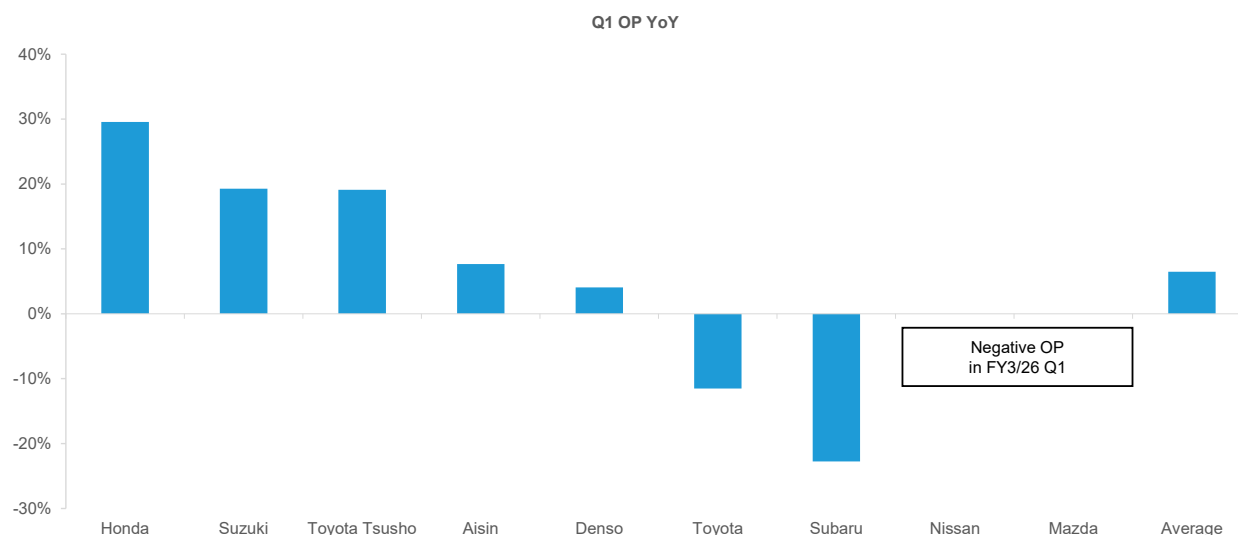
We expect Honda's Q1 operating profit to be driven primarily by higher vehicle sales, particularly HEVs in the US market, coupled with a significantly lower tariff burden relative to the prior year and the absence of the one-off EV-related expenses recorded in the year-ago quarter (JPY 122bn). A key variable, however, will be the timing and magnitude of the projected FY3/27 EV-related one-off costs of approximately JPY 50bn and how much is recognized in Q1. Should operating profit come in around our estimate, Honda would achieve an exceptionally high level of progress against its full-year guidance, increasing the likelihood of a guidance upgrade at the Q1 earnings release.

We expect Suzuki's Q1 operating profit to benefit mainly from volume growth in India. Key swing factors include provisions related to the recent engine component recall, fixed-cost trends, and the timing of unrealized profit adjustments. For Subaru, we anticipate earnings support from stronger sales volumes, particularly in the US, favorable FX effects from yen depreciation, and a lower US tariff burden versus the prior year. These positives are likely to be partially offset by the absence of approximately JPY 10bn in environmental credit sale gains booked in the year-ago quarter.

For Toyota, while sales momentum in the US and Japan remains solid, we expect Q1 operating profit to be weighed down by lower global volumes, reflecting weaker exports to and sales in the Middle East, where the company has relatively high exposure. Given its scale, Toyota is also likely to face the largest headwind from higher raw material costs. These pressures should be partially offset by yen depreciation and a lower US tariff burden relative to the prior year. Potential downside factors include the reversal of approximately JPY 200bn of year-ago unrealized profit benefits and the impact associated with the cancellation of the Lexus LF-ZC EV development program. Overall, while we forecast a YoY decline in Q1 operating profit, we continue to view Toyota's initial FY26 guidance as highly conservative. Strong progress against full-year guidance could refocus investor attention on the resilience of the company's core earnings power.

We expect Nissan's ongoing volume weakness in Europe and Asia, together with the absence of the approximately JPY 28.9bn benefit from accounting changes to warranty provisions recorded in the prior year. However, lower US tariff costs and expanding benefits from the Re:Nissan cost-reduction program should provide meaningful support. On balance, we forecast Nissan to return to an operating profit in Q1, compared with an operating loss in the year-ago quarter. For Mazda, Q1 operating profit is likely to face pressure from lower sales volumes in other overseas markets. Offsetting factors include reduced US tariff costs relative to last year and favorable FX effects from yen depreciation. In addition, the pace and timing of advertising and promotional spending could provide upside to earnings. However, if Q1 results come in line with our estimates, both Nissan and Mazda would post very low progress rates against their initial full-year guidance, potentially leading investors to question the achievability of their current earnings targets.

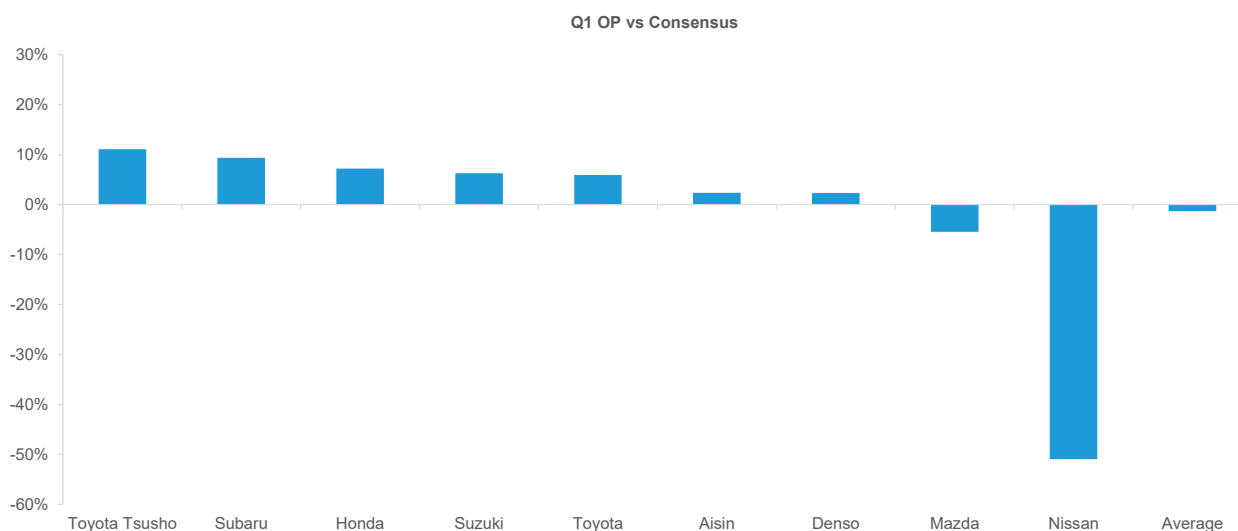
EXHIBIT 8: We forecast Honda, Suzuki, Nissan, and Mazda to deliver YoY profit growth, while Toyota and Subaru are likely to post YoY declines



Note: Toyota Tsusho on a net profit basis

Source: Company reports, Bernstein analysis and estimates

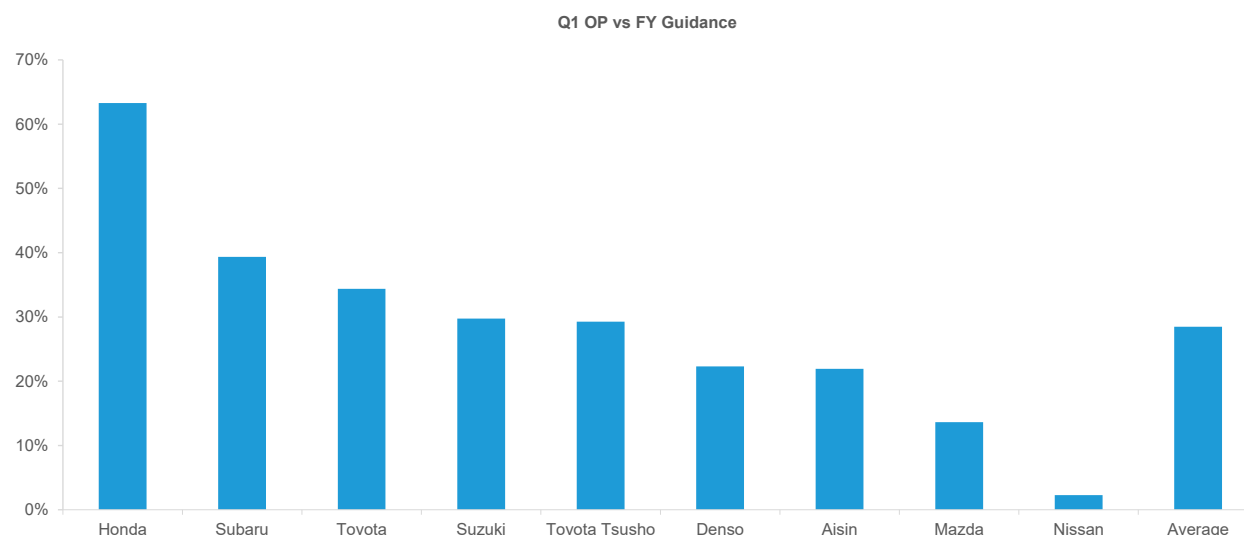
EXHIBIT 9: We see upside potential for Subaru, Honda, Suzuki, and Toyota, while Mazda appears at risk of missing expectations



Note: Toyota Tsusho on a net profit basis

Source: Company reports, Bernstein analysis and estimates

EXHIBIT 10: Honda, Subaru, Toyota, and Suzuki should show strong progress rates, whereas Nissan and Mazda are likely to lag

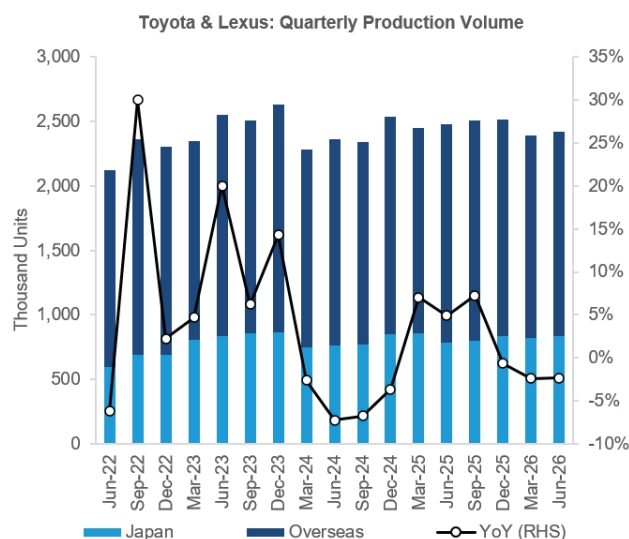


Note: Toyota Tsusho on a net profit basis

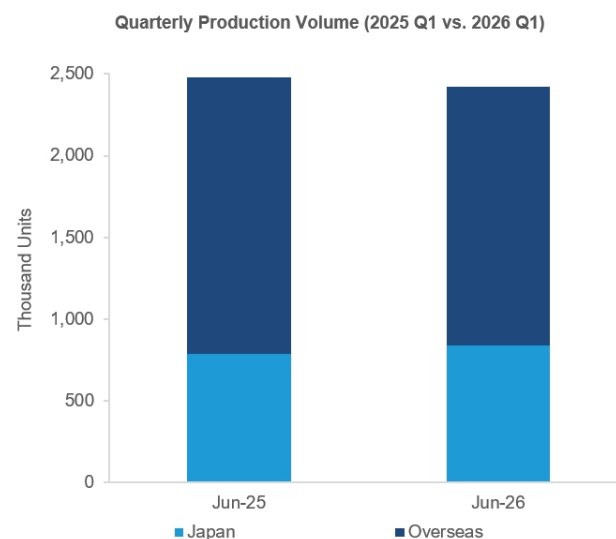
Source: Company reports, Bernstein analysis and estimates

DENSO AND AISIN UNLIKELY TO DELIVER SIGNIFICANT SURPRISES

Toyota's global production trend has remained somewhat soft since late last year and, consistent with recent sales trends, we estimate Q1 (April–June) global production to decline 2.3% YoY, primarily due to lower overseas output (Exhibit 11, Exhibit 12). While this is naturally a headwind for key group suppliers Denso and Aisin, we nevertheless forecast modest YoY growth in operating profit for both companies, supported by factors such as favorable FX movements. That said, we see limited upside to current consensus estimates, while progress against initial full-year guidance is likely to remain at a relatively reasonable level. As a result, we do not expect either company to deliver a major earnings surprise this quarter. For both companies, earnings should also be supported by pricing actions taken to offset the impact of US import tariffs. At Denso, the absence of significant quality-related issues could provide further upside to earnings. Meanwhile, Aisin may also have upside potential depending on the pace of its operational improvement initiatives and the realization of benefits from ongoing structural reforms.

EXHIBIT 11: Toyota's global production volumes have softened since late last year

Source: Company reports, Bernstein analysis and estimates

EXHIBIT 12: Toyota's Q1 global production is expected to fall 2.3% YoY, due to lower overseas production

Source: Company reports, Bernstein analysis and estimates

TOYOTA TSUSHO POISED TO BENEFIT FROM STRONG LAND CRUISER SALES IN AFRICA

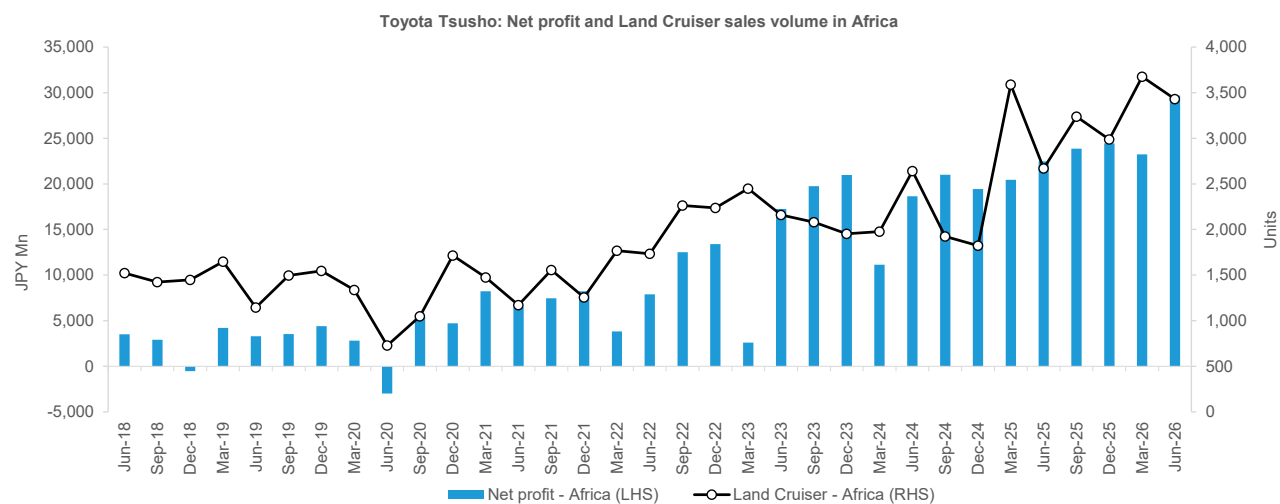
Toyota Tsusho's Q1 (April–June) net profit is likely to surprise meaningfully to the upside, primarily supported by strong Toyota Land Cruiser sales in Africa. We forecast YoY growth in Q1 net profit and believe earnings could come in well above current consensus expectations. As a result, the company's progress rate against its initial full-year net profit guidance could also be stronger than expected, potentially prompting the market to raise its earnings expectations further. In our view, a solid Q1 performance would reinforce confidence in the sustainability of Toyota Tsusho's earnings momentum and could serve as a positive catalyst for the shares.

Our analysis is based on a regression framework using African Land Cruiser sales volumes from IHS and the EUR/JPY exchange rate to forecast net profit in the Africa business, a key driver of Toyota Tsusho's earnings. We then use the historical relationship between Africa business net profit and consolidated net profit to estimate Toyota Tsusho's consolidated earnings.

Looking at the relationship between quarterly net profit in the Africa business and Land Cruiser sales volumes in Africa through FY3/26 Q4, we observe a very strong correlation (Exhibit 13). In a multiple regression model using quarterly Africa business net profit as the dependent variable and African Land Cruiser sales volumes together with EUR/JPY as explanatory variables, the model achieves an R^2 of 0.85, while the Significance F is effectively zero (0.00...), indicating a highly statistically significant relationship (Exhibit 14). IHS forecasts African Land Cruiser sales of 3,429 units in FY3/27 Q1, representing growth of 28.4% YoY. In addition, South Africa, which has accounted for roughly 80-90% of the Land Cruiser sales in Africa over the past three years, recorded sales growth of 21.8% YoY in April-May, pointing to continued strength in underlying demand. EUR/JPY also moved from 164 in FY3/26 Q1 to 185 in FY3/27 Q1, providing an additional tailwind for earnings.

We then conducted a simple regression analysis using Africa business net profit as the explanatory variable and consolidated net profit as the dependent variable. The model produces an R^2 of 0.84, indicating a very strong historical relationship between the two variables. Based on this regression framework, we believe Q1 consolidated net profit could come in above consensus.

EXHIBIT 13: Toyota Tsusho's Africa business net profit appears to be highly correlated with sales volumes of the Toyota Land Cruiser series in Africa



Note: FY3/27 Q1 (Jun-26) net profit is estimated based on the regression relationship between Land Cruiser sales volumes and net profit

Source: Bloomberg, IHS, Company reports, Bernstein analysis and estimates

EXHIBIT 14: Our multiple regression analysis indicates that Land Cruiser sales volumes in Africa and EUR/JPY have strong explanatory power for the Africa business's net profit

Regression Statistics	
Multiple R	0.92
R Square	0.85
Adjusted R Square	0.84
Standard Error	3,271.63
Observations	32.00

ANOVA					
	df	SS	MS	F	Significance F
Regression	2	1,830,293,315	915,146,658	85.50	0.00
Residual	29	310,403,296	10,703,562		
Total	31	2,140,696,612			

Source: Bloomberg, IHS, Bernstein analysis

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein's "affiliates" relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY

This research publication covers six or more companies. For valuation methodology and other company disclosures:

Please visit: <https://bernstein-autonomous.bluematrix.com/sellside/Disclosures.action>.

Or, you can also write to the Director of Compliance, Bernstein Institutional Services LLC, 245 Park Avenue, New York, NY 10167.

RISKS

This research publication covers six or more companies. For risks and other company disclosures:

Please visit: <https://bernstein-autonomous.bluematrix.com/sellside/Disclosures.action>.

Or, you can also write to the Director of Compliance, Bernstein Institutional Services LLC, 245 Park Avenue, New York, NY 10167.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIA) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

The Autonomous brand has three categories of credit ratings:

- Credit Outperform (C-OP): The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

- **Credit Neutral (C-N):** The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- **Credit Underperform (C-UP):** The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e. the private side) within the Firm, and into other areas, units, groups or affiliates (i.e. public side) of the Firm

DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.

As of June 30, 2026. All figures are updated quarterly.

PRICE CHARTS/ RATINGS AND PRICE TARGET HISTORY

This research publication covers six or more companies. For price chart and other company disclosures, please visit <https://bernstein-autonomous.bluematrix.com/sellside/Disclosures.action> or you can write to the Director of Compliance, Bernstein Institutional Services LLC, 245 Park Avenue, New York, NY 10167.

CONFLICTS OF INTEREST

SG and/or its affiliates beneficially own 0.5% or more of [the total issued share capital/any class of common equity securities] with a net [long/short] position of: Aisin Corporation.

Bernstein and/or affiliates have received compensation for investment banking services in the past twelve months from Toyota Motor Corporation and Nissan Motor Co Ltd.

Bernstein and/or affiliates have received compensation for non-investment banking securities-related products or services in the previous twelve months from the following clients: Toyota Motor Corporation, Suzuki Motor Corporation, Honda Motor Co Ltd, Mazda Motor Corporation, Toyota Tsusho Corporation, Denso Corporation and Aisin Corporation.

An affiliate of Bernstein has received compensation for non-investment banking securities-related products or services in the previous twelve months from the following clients: Toyota Tsusho Corporation and Denso Corporation.

Bernstein and/or affiliates expect to receive or intend to seek compensation for investment banking services in the next three months from Toyota Motor Corporation and Nissan Motor Co Ltd.

Bernstein and/or affiliates had an investment banking client relationship during the past twelve months with Toyota Motor Corporation and Nissan Motor Co Ltd.

Affiliates of Bernstein managed or co-managed in the past twelve months a public offering of securities of Toyota Motor Corporation and Nissan Motor Co Ltd.

Certain affiliates of Bernstein act as market maker or liquidity provider in the debt securities of: Toyota Motor Corporation and Honda Motor Co Ltd.

OTHER MATTERS

The legal entity(ies) employing the analyst(s) listed in this report, and their location, can be determined by the country code of their phone number, as follows:

- +1 Bernstein Institutional Services LLC; New York, New York, USA
- +44 Bernstein Autonomous LLP; London UK
- +212 Société Générale Africa Technologies & Services; Casablanca, Morocco
- +33 BSG France S.A.; Paris, France
- +34 BSG France S.A.; Madrid, Spain
- +41 Bernstein Autonomous LLP; Geneva, Switzerland
- +49 BSG France S.A.; Frankfurt, Germany
- +91 Sanford C. Bernstein (India) Private Limited; Mumbai, India
- +852 Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司; Hong Kong, China
- +65 Sanford C. Bernstein (Singapore) Private Limited; Singapore
- +81 Sanford C. Bernstein Japan KK; Tokyo, Japan

Where this report has been prepared by research analyst(s) employed by a non-US affiliate, such analyst(s), is/are (unless otherwise expressly noted below) not registered as associated persons of Bernstein Institutional Services LLC or any other SEC-registered broker-dealer and are not licensed or qualified as research analysts with FINRA. Accordingly, such analyst(s) may not be subject to FINRA's restrictions regarding (among other things) communications by research analysts with a subject company, interactions between research analysts and investment banking personnel, participation by research analysts in solicitation and marketing activities relating to investment banking transactions, public appearances by research analysts, and trading securities held by a research analyst account.

Where this report has been prepared by research analyst(s) employed by Société Générale Africa Technologies & Services (part of the Société Générale group of companies), it has been prepared on behalf of a Bernstein company under a Global Services Agreement in place between Bernstein and Société Générale.

CERTIFICATION

Each research analyst listed in this report, who is primarily responsible for the preparation of the content of this report, certifies that all of the views expressed in this publication accurately reflect that analyst's personal views about any and all of the subject securities or issuers and that no part of that analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views in this publication.

II. ADDITIONAL GLOBAL CONFLICT DISCLOSURES

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e., the private side) within the Firm, and into other areas, units, groups or affiliates (i.e., public side) of the Firm.

III. OTHER IMPORTANT INFORMATION AND DISCLOSURES

Separate branding is maintained for "Bernstein" and "Autonomous" research products.

- Bernstein produces a number of different types of research products including, among others, fundamental analysis and quantitative analysis under both the “Autonomous” and “Bernstein” brands. Recommendations contained within one type of research product may differ from recommendations contained within other types of research products, whether as a result of differing time horizons, methodologies or otherwise. Furthermore, views or recommendations within a research product issued under one brand may differ from views or recommendations under the same type of research product issued under the other brand. The Research Ratings System for the two brands and other information related to those Rating Systems are included in the previous section.
- Autonomous operates as a separate business unit within the following entities: Bernstein Institutional Services LLC, Bernstein Autonomous LLP, Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 and Sanford C. Bernstein (India) Private Limited. For information relating to “Autonomous” branded products (including certain Sales materials) please visit: www.autonomous.com. For information relating to Bernstein branded products please visit: www.bernsteinresearch.com.

Analysts are compensated based on aggregate contributions to the research franchise as measured by account penetration, productivity and proactivity of investment ideas. No analysts are compensated based on performance in, or contributions to, generating investment banking revenues.

This report has been produced by an independent analyst as defined in Article 3 (1)(34)(i) of EU 596/2014 Market Abuse Regulation (“MAR”) and the same article of MAR as it forms part of United Kingdom domestic law by virtue of the European Union (Withdrawal) Act 2018.

To our readers in the United States: Bernstein Institutional Services LLC, a broker-dealer registered with the U.S. Securities and Exchange Commission (“SEC”) and a member of the U.S. Financial Industry Regulatory Authority, Inc. (“FINRA”) is distributing this publication in the United States and accepts responsibility for its contents. Where this material contains an analysis of debt product(s), such material is intended only for institutional investors and is not subject to the US independence and disclosure standards applicable to debt research prepared for retail investors.

Bernstein Institutional Services LLC may act as principal for its own account or as agent for another person (including an affiliate) in sales or purchases of any security which is a subject of this report. This report does not purport to meet the objectives or needs of any specific individuals, entities or accounts.

To our readers in Canada: If this publication pertains to a Canadian domiciled company, it is being distributed in Canada by Sanford C. Bernstein (Canada) Limited, which is licensed and regulated by the Canadian Investment Regulatory Organization. If the publication pertains to a non-Canadian domiciled company, it is being distributed by Bernstein Institutional Services LLC, which is licensed and regulated by both the SEC and FINRA, into Canada under the International Dealers Exemption.

This document may not be passed onto any person in Canada unless that person qualifies as “permitted client” as defined in Section 1.1 of NI 31-103.

To our readers in Brazil: This report has been prepared by Bernstein Institutional Services LLC, and Banco BTG Pactual S.A. (“BTG”) is responsible for the distribution of this report in Brazil.

To readers in the United Kingdom: This publication has been issued or approved for issue in the United Kingdom by Bernstein Autonomous LLP, authorised and regulated by the Financial Conduct Authority and located at 60 London Wall, London EC2M 5SH, +44 (0)20-7170-5000. Registered in England & Wales No OC343985.

This document is for distribution only to persons who (i) have professional experience in matters relating to investments falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the “Financial Promotion Order”), (ii) are persons falling within Article 49(2)(a) to (d) (“high net worth companies, unincorporated associations, etc.”) of the Financial Promotion Order, (iii) are outside the United Kingdom, or (iv) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the FSMA) in connection with the issue or sale of any securities may otherwise lawfully be communicated or caused to be communicated (all such persons together being referred to as “relevant persons”). This document is directed only at relevant persons and must not be acted on or relied on by persons who are not relevant persons. Any investment or investment activity to which this document relates is available only to relevant persons and will be engaged in only with relevant persons.

To our readers in the member states of the EEA: This publication is being distributed by BSG France SA, which is authorised and regulated by the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and Autorité des Marchés Financiers (AMF).

To our readers in Hong Kong: This publication is being distributed in Hong Kong by Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, which is licensed and regulated by the Hong Kong Securities and Futures Commission (Central Entity No. AXC846) to carry out Type 4 (Advising on Securities) regulated activities and subject to the licensing conditions mentioned in

the SFC Public Register (<https://www.sfc.hk/publicregWeb/corp/AXC846/details>). This publication is solely for professional investors, as defined in the Securities and Futures Ordinance (Cap. 571). The purpose of this report is solely to provide an analysis of the issuers referred to in this report and is not intended for any purpose contrary to the laws of Hong Kong.

To our readers in Singapore: This publication is being distributed in Singapore by Sanford C. Bernstein (Singapore) Private Limited, only to accredited investors or institutional investors, as defined in the Securities and Futures Act 2001 of Singapore ("SFA"). Recipients in Singapore should contact Sanford C. Bernstein (Singapore) Private Limited in respect of matters arising from, or in connection with, this publication. Sanford C. Bernstein (Singapore) Private Limited is regulated by the Monetary Authority of Singapore and licensed under the SFA as a capital markets services licence holder for dealing in capital markets products that are securities and collective investment schemes and an exempt financial adviser for advising on, issuing and promulgating analyses and reports on securities. Sanford C. Bernstein (Singapore) Private Limited is registered in Singapore with Company Registration No. 20213710W and located at 8 Marina Boulevard, #12-01, Marina Bay Financial Centre, Singapore 018981, +65-6326-7000.

To our readers in the People's Republic of China: The securities referred to in this document are not being offered or sold and may not be offered or sold, directly or indirectly, in the People's Republic of China (for such purposes, not including the Hong Kong and Macau Special Administrative Regions or Taiwan, the "PRC") in contravention of any applicable laws of the PRC.

This document does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC to any person to whom it is unlawful to make the offer or solicitation in the PRC.

We do not represent that this document may be lawfully distributed, or that any securities may be lawfully offered, in compliance with any applicable registration or other requirements in the PRC, or pursuant to an exemption available thereunder, or assume any responsibility for facilitating any such distribution or offering. In particular, no action has been taken by us which would permit a public offering of any securities or distribution of this document in the PRC. Accordingly, the securities are not being offered or sold within the PRC by means of this document or any other document. Neither this document nor any advertisement or other offering material may be distributed or published in the PRC, except under circumstances that will result in compliance with any applicable laws and regulations.

To our readers in Japan: This publication is being distributed in Japan by Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社), which is registered in Japan as a Financial Instruments Business Operator with the Kanto Local Finance Bureau (registration number: The Director-General of Kanto Local Finance Bureau (FIBO) No.3387) and regulated by the Financial Services Agency. It is also a member of Investment Management Association of Japan. This publication is solely for qualified institutional investors in Japan only, as defined in Article 2, paragraph (3), items (i) of the Financial Instruments and Exchange Act.

For the institutional client readers in Japan who have been granted access to the Bernstein website by Daiwa Securities Group Inc. ("Daiwa"), your access to this document should not be construed as meaning that Bernstein is providing you with investment advice for any purposes. Whilst Bernstein has prepared this document, your relationship is, and will remain with, Daiwa, and Bernstein has neither any contractual relationship with you nor any obligations towards you.

To our readers in Australia: Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 is responsible for distributing research in Australia. It is regulated by the Securities and Exchange Commission under U.S. laws, by the Financial Conduct Authority under U.K. laws, which differs from Australian laws. Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 is exempt from the requirement to hold an Australian financial services license under the Corporations Act 2001 in respect of the provision of the following financial services to wholesale clients:

- providing financial product advice;
- dealing in a financial product;
- making a market for a financial product; and
- providing a custodial or depository service.

To our readers in India: This publication is being distributed in India by Sanford C. Bernstein (India) Private Limited (SCB India) which is licensed and regulated by Securities and Exchange Board of India ("SEBI") as a research analyst entity under the SEBI (Research Analyst) Regulations, 2014, having registration no. INH000006378 and as a stock broker having registration no. INZ000213537. SCB India is currently engaged in the business of providing research and stock broking services. Please refer to www.bernsteinresearch.in for more information.

- SCB India is a Private limited company incorporated under the Companies Act, 2013, on April 12, 2017 bearing corporate identification number U65999MH2017FTC293762, and registered office at Level 3A, 4th Floor, First International Financial

Centre, Plot Nos C-54 and C-55, G Block, Near CBI Office, Bandra Kurla Complex, Bandra (East), Mumbai 400098, Maharashtra, India (Phone No: +91-22-68421401).

- For details of Associates (i.e., affiliates/group companies) of SCB India, kindly email MUM-BERNSTEIN-InCompliance@bernsteinsg.com.
- SCB India does not have any disciplinary history as on the date of this report.
- Except as noted above, SCB India and/or its Associates (i.e., affiliates/group companies), the Research Analysts authoring this report, and their relatives
 - do not have any financial interest in the subject company
 - do not have actual/beneficial ownership of one percent or more in securities of the subject company;
 - is not engaged in any investment banking activities for Indian companies, as such;
 - have not managed or co-managed a public offering in the past twelve months for any Indian companies;
 - have not received any compensation for investment banking services or merchant banking services from the subject company in the past 12 months;
 - have not received compensation for brokerage services from the subject company in the past twelve months;
 - have not received any compensation or other benefits from the subject company or third party related to the specific recommendations or views in this report; and
 - do not currently, but may in the future, act as a market maker in the financial instruments of the companies covered in the report.
 - do not have any conflict of interest in the subject company as of the date of this report.
- Except as noted above, the subject company has not been a client of SCB India during twelve months preceding the date of distribution of this research report. Neither SCB India nor its Associates (i.e., affiliates/group companies) have received compensation for products or services other than investment banking, merchant banking or brokerage services from the subject company in the past twelve months.
- The principal research analyst(s) who prepared this report, members of the analysts' team, and members of their households are not an officer, director, employee or advisory board member of the companies covered in the report.
- Our Compliance officer / Grievance officer is Ms. Rupal Talati, who can be reached at +91-22-68421451, or MUM-BERNSTEIN-InCompliance@bernsteinsg.com / Scbin-investorgrievance@bernsteinsg.com
- The Research investor charter and Terms & Conditions of SCB India are available on its website and may be accessed at [Sanford C. Bernstein \(India\) Private Limited](https://bernsteinresearch.in/) (https://bernsteinresearch.in/) for your reference.
- Disclaimer: Registration granted by SEBI, and certification from NISM, is in no way a guarantee of performance of the intermediary or provide any assurance of returns to investors. Investments in securities market are subject to market risks. Read all the related documents carefully before investing.

To our readers in Switzerland: This document is provided in Switzerland by or through Bernstein Autonomous LLP, and is provided only to qualified investors as defined in article 10 of the Swiss Collective Investment Scheme Act ("CISA") and related provisions of the Collective Investment Scheme Ordinance and in strict compliance with applicable Swiss law and regulations. The products mentioned in this document may not be suitable for all types of investors. This document is based on the Directives on the Independence of Financial Research issued by the Swiss Bankers Association (SBA) in January 2008.

To our readers in the Middle East: Bernstein Autonomous LLP, DIFC branch has its principal office at Gate Village 06, DIFC, Dubai, UAE. Bernstein Autonomous LLP, DIFC branch is regulated by the Dubai Financial Services Authority (DFSA) with the registration number CL10040 and is provisioned for Arranging Deals in Investments and Advising on Financial Products. All communications and services are directed at Professional Clients and Market Counterparties only (as defined in the DFSA

rulebook). Persons other than Professional Clients and Market Counterparties, such as Retail Clients, are not the intended recipients of our communications or services.

LEGAL

All research publications are disseminated to our clients through posting on the firm's password protected websites, bernsteinresearch.com and autonomous.com. Certain, but not all, research publications are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience.

This publication has been published and distributed in accordance with the Firm's policy for management of conflicts of interest in investment research, a copy of which is available from Bernstein Institutional Services LLC, Director of Compliance, 245 Park Avenue, New York, NY 10167. Additional disclosures and information regarding Bernstein's business are available on our website www.bernsteinresearch.com.

The securities described herein may not be eligible for sale in all jurisdictions or to certain categories of investors where that permission profile is not consistent with the licenses held by the entities noted herein. This document is for distribution only as may be permitted by law. This publication is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of, or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject any of the entities referenced herein or any of their subsidiaries or affiliates to any registration or licensing requirement within such jurisdiction. This publication is based upon public sources we believe to be reliable, but no representation is made by us that the publication is accurate or complete. We do not undertake to advise you of any change in the reported information or in the opinions herein. This publication was prepared and issued by entity referred to herein for distribution to eligible counterparties or professional clients. This publication is not an offer to buy or sell any security, and it does not constitute investment, legal or tax advice. The investments referred to herein may not be suitable for you. Investors must make their own investment decisions in consultation with their professional advisors in light of their specific circumstances. The value of investments may fluctuate, and investments that are denominated in foreign currencies may fluctuate in value as a result of exposure to exchange rate movements. Information about past performance of an investment is not necessarily a guide to, indicator of, or assurance of, future performance.

This report is directed to and intended only for our clients who are "eligible counterparties", "professional clients", "institutional investors" and/or "professional investors" as defined by the aforementioned regulators, and must not be redistributed to retail clients as defined by the aforementioned regulators. Retail clients who receive this report should note that the services of the entities noted herein are not available to them and should not rely on the material herein to make an investment decision. The result of such act will not hold the entities noted herein liable for any loss thus incurred as the entities noted herein are not registered/ authorised/ licensed to deal with retail clients and will not enter into any contractual agreement/arrangement with retail clients. This report is provided subject to the terms and conditions of any agreement that the clients may have entered into with the entities noted herein. All research reports are disseminated on a simultaneous basis to eligible clients through electronic publication to our client portal.

The information in this report was prepared by Bernstein solely for the internal business use of our clients. Clients may store, display, analyze, reformat and print the information in this report for this limited use only. Clients may not copy, alter, create derivative works, resell, reverse engineer, commercially exploit, share or distribute any part of the information contained herein for any purpose without Bernstein's express written consent. These restrictions include extracting data or using the content to develop indices or other products. Further, you may not use this report, or any portion of this report, to train or finetune any third-party machine learning or artificial intelligence system, or as a prompt or input into any such system. You also may not, without Bernstein's express written consent, do any of the foregoing in connection with your own internal machine learning or artificial intelligence system.

Bernstein may use artificial intelligence tools in the preparation of its materials. Any such materials are reviewed by Bernstein's research analysts prior to publication.

This report has been prepared for information purposes only and is based on current public information that we consider reliable, but the entities noted herein do not warrant or represent (express or implied) as to the sources of information or data contained herein are accurate, complete, not misleading or as to its fitness for the purpose intended even though the entities noted herein rely on reputable or trustworthy data providers, it should not be relied upon as such. Opinions expressed are the author(s)' current opinions as of the date appearing on the material only and we do not undertake to advise you of any change in the reported information or in the opinions herein.

Any references to Societe Generale herein are purely factual, based upon publicly available information, and included for comparative purposes only. They do not constitute an opinion or recommendation with respect to the securities of Societe Generale.

This publication was prepared and issued by the entity referred to herein for distribution to eligible counterparties or professional clients. The information in this report is intended for general circulation and does not constitute an offer to buy or sell any security, investment, legal or tax advice nor a personal recommendation, as defined by any of the aforementioned regulators. It does not take into account the particular investment objectives, financial situations, or needs of individual investors. The report has not been reviewed by any of the aforementioned regulators and does not represent any official recommendation from the aforementioned regulators. The investments referred to herein may not be suitable for you. Investors must make their own investment decisions in consultation with advice sought from a financial adviser regarding the suitability of the investment product, taking into account the specific investment objectives, financial situation or particular needs of any recipient of the recommendation, before the recipient makes a commitment to purchase the investment product.

The analysis contained herein is based on numerous assumptions. Different assumptions could result in materially different results. The information in this report does not constitute, or form part of, any offer to sell or issue, or any offer to purchase or subscribe for shares, or to induce engagement in any other investment activity. The value of any securities or financial instruments mentioned in this report may fluctuate subject to market conditions. Information about past performance of an investment is not necessarily a guide to, indicative of, or assurance of future performance. Estimates of future performance mentioned by the research analyst in this report are based on assumptions that may not be realized due to unforeseen factors like market volatility/fluctuation. In relation to securities or financial instruments denominated in a foreign currency other than the clients' home currency, movements in exchange rates will have an effect on the value, either favorable or unfavorable. Before acting on any recommendations in this report, recipients should consider the appropriateness of investing in the subject securities or financial instruments mentioned in this report and, if necessary, seek independent professional advice.

The securities described herein may not be eligible for sale in all jurisdictions or to certain categories of investors where that permission profile is not consistent with the licenses held by the entities noted herein. This document is for distribution only as may be permitted by law. It is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or would subject the entities noted herein to any regulation or licensing requirement within such jurisdiction.

Source: Bloomberg Index Services Limited. BLOOMBERG® is a trademark and service mark of Bloomberg Finance L.P. and its affiliates (collectively "Bloomberg"). Bloomberg or Bloomberg's licensors own all proprietary rights in the Bloomberg Indices. Neither Bloomberg nor Bloomberg's licensors approves or endorses this material, or guarantees the accuracy or completeness of any information herein, or makes any warranty, express or implied, as to the results to be obtained therefrom and, to the maximum extent allowed by law, neither shall have any liability or responsibility for injury or damages arising in connection therewith.

No part of this material may be reproduced, distributed or transmitted or otherwise made available without prior consent of the entities noted herein. Copyright Bernstein Institutional Services LLC Bernstein Autonomous LLP, BSG France S.A., Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited and Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社). All rights reserved. The trademarks and service marks contained herein are the property of their respective owners. Any unauthorized use or disclosure is strictly prohibited. The entities noted herein may pursue legal action if the unauthorized use results in any defamation and/or reputational risk to the entities noted herein and research published under the Bernstein and Autonomous brands.